By exercising its sole authority of creation of reserve money and considerable regulatory authority over the banking system, RBI manages and maintains the stability of the credit system, also referred to as the financial system.

Other Non-Core Functions Entrusted to RBI

Though it need not be, RBI is the banker to the Government of India. By entering into agreements, it is also the banker to state governments. It manages the issuance and extinguishment of the market debt of the Government of India as well as state governments. Being the banker and debt manager of the Government of India and the state governments is a non-core function of RBI.

India followed quite a restrictive foreign exchange system after Independence. By now, India has instituted an almost free current account convertibility but has still not gone for capital account convertibility. FEMA confers considerable authority on RBI in the matter of permitting capital account transactions, recording such transactions and regulating the system of authorized agents to manage foreign exchange transactions. After the recent amendment in FEMA in 2015 and notification of rules by the Government of India in 2020, RBI is the primary policymaker for debt issues (in consultation with the government), whereas the government is the primary policymaker for non-debt issues (in consultation with RBI).

Management of foreign exchange reserves is another non-core function entrusted to RBI. To a considerable extent, management of monetary policy function, especially maintaining the external value of Indian currency, also affects management of foreign exchange reserves.

There are quite a few other small non-core functions that RBI manages in India.